

MEC - 110 MONEY FINANCIAL INSTITUTIONS & MARKETS



Money, Financial Institutions and Markets

(Volume-1)

School of Social Sciences
Indira Gandhi National Open University
New Delhi

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Unit 8	Central Bank: Its Role as Regulator of the Banking System	Dr. Sant Kumar Assistant Professor of Economics Vivekanand Institute of Professional Studies, New Delhi
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COURSE INTRODUCTION

MEC 110: Money, Financial Institutions and Markets

The structure of MA Economics programme has been spread over four semesters. In each of the first three semesters, three courses (in the multiple of six or eight credits) have been included in a well thought manner. The two courses i.e., Micro Economic Analysis (MEC-101) and Macro Economic Analysis (MEC-102) provide the theoretical foundation and the knowledge of mathematical and statistical tools in MEC 203, enabling to understand micro and macro theories in analytical manner. Another set of three courses included in semester two lead to further insight into the area of growth and development. The knowledge of economic theory both in micro and macro domain and insight into growth and development prepare the foundation for entering the empirical part and take up the various components of Indian economics policy (MEC-205). Knowledge of theoretical and applied part of economics make a solid ground for making in-depth study of various economic events, developments and situations. However, before taking up in-depth study, the knowledge of conceptual foundation, tools and techniques of research methodology is required. These have been provided in the course Research Methods in Economics (MEC 109).

Having the knowledge of core courses in the first and the second semesters, with the intention to have knowledge of area specific core courses, another set of three courses viz., Public Economics (MEC-106) International Trade and Development (MEC-107) and Money, Financial Institutions and Markets (MEC 110) have been introduced in the third semester.

We have covered issues related to monetary policy in macro-economic analysis, yet the various topics related to monetary economics such as functions of money and its relation and interaction with financial institutions and markets could not be covered, which are otherwise essential to have insight into the functioning of various kinds of markets in the economy. Hence, MEC 110 course as an extension of macro dimension of economics has been included in this semester.

In order to comprehend this course in a meaningful manner, students should have a clear idea of the conceptual foundations and functioning of the financial system. In this process, it is necessary to understand the role and functions of money, and the transmission mechanism of monetary policy.

This course is extremely relevant because money, financial institutions, and markets form the cornerstone of modern economies. They serve as the channels through which resources are allocated, transactions are facilitated, and economic prosperity is achieved. Their roles are multifaceted and intertwined, shaping the economic landscape and impacting the lives of individuals, businesses, and societies around the globe. Thus, understanding functions of money, financial institutions, and markets, interactions, and implications is essential for policymakers, economists, investors, and citizens alike, helping them to navigate the complexities of the financial system.

The course discusses how capital flows through the economy and how financial intermediaries play a crucial role in channelling funds between surplus and deficit units in the economy. It deliberates upon the roles, functions, and regulatory frameworks of money markets, capital markets, bond markets, and derivatives. It also provides insights into market dynamics, participant behaviour, and factors driving asset valuations. The

course also delves into functioning of Commercial banks, non-bank financial intermediaries, and regulatory bodies which form the backbone of the financial system and play an important role in maintaining economic stability. Further, it equips with the understanding of 'Efficient Portfolio Frontier' and asset pricing theories which are essential for investors seeking to optimize returns and manage risk. To understand the challenges and complexities of maintaining a stable financial system, this course also presents the comprehensive understanding of non-performing assets, foreign exchange stability, and behavioural finance.

This course is divided into eight blocks. Each block is interconnected. The structure of the course is as follows:

Block 1: The Financial System is a foundational block. This block has 3 units. It provides an overview of the financial system, elucidating the interlinkages between economic agents, markets, and institutions. It also gives an overview of the process of flow of funds, the role of financial intermediaries, and the fundamentals of basic business accounting, setting the stage for a deeper understanding of Money, financial institutions and markets.

Block 2 entitled **Money** contains three units. This block unravels significance of money in the modern economy. From understanding its functions and liquidity to exploring theories of demand for money and the process of money supply, this block gives insights into Money as a fundamental building block of monetary systems.

In **Block 3: Monetary Policy**, we have discussed the pivotal role that the Central Bank plays in shaping monetary policy and presented their functions, objectives, and instruments. Three units have been covered in this block which explores the transmission mechanisms of monetary policy and analyze its implications on financial institutions and markets.

Block 4: Financial Markets deals with the functioning of the financial market. Its content is spread over four units. The intricacies of money markets, capital markets, bond markets, and derivatives, throwing light on their functions, participants, and dynamics have been discussed in this block.

Block 1

The Financial System: Overview

Unit 1	Economic Agents
Unit 2	Financial Intermediation
Unit 3	Basic Business Accounting